

FEDERAL MARITIME COMMISSION

PETITION OF CHINA SHIPPING (HONG KONG) CONTAINER LINES CO., LTD.
FOR AN EXEMPTION FROM THE FIRST SENTENCE OF SECTION 9(C) OF THE SHIPPING ACT OF 1984

Petition No. P6-04

Served: March 29, 2005

ORDER GRANTING PETITION

By petition filed November 10, 2004, China Shipping Container Lines (Hong Kong) Co., Ltd. ("CSCL-HK" or "Petitioner") requested that the Federal Maritime Commission ("FMC" or "Commission") exempt it from the first sentence of section 9(c) of the Shipping Act of 1984 ("Shipping Act"), 46 U.S.C. app. § 1708. Notice of the filing was served on November 15, 2004, and published in the Federal Register on November 22, 2004. 69 Fed. Reg. 67912. Comments were due on December 6, 2004. The Commission received no comments in response to this notice.

For the following reasons, the Commission has determined to grant the Petition and exempt CSCL-HK from the otherwise applicable provision of section 9(c) of the Shipping Act, 46 U.S.C. app. § 1708(c), which prohibits CSCL-HK from reducing its tariff rates effective sooner than the thirtieth day after the date of publication.

THE PETITION

CSCL-HK seeks to implement reduced tariff rates effective upon publication, rather than be subject to a thirty-day waiting period prescribed by the Controlled Carrier Act.¹ CSCL-HK, a wholly-owned subsidiary of China Shipping Container Lines Co., Ltd., was classified as a controlled carrier on December 21, 2004, pursuant to authority delegated to the General Counsel by 46 C.F.R. § 501.23. CSCL-HK explains that ocean common carriers, with the exception of controlled carriers,² are permitted to reduce their rates effective

¹Section 9 of the Shipping Act, 46 U.S.C. app. § 1708, is popularly known as the "Controlled Carrier Act." That provision states, in pertinent part: "Notwithstanding section 8(d) of this Act and except for service contracts, the rates, charges, classifications, rules, or regulations of controlled carriers may not, without special permission of the Commission, become effective sooner than the 30th day after the date of filing with the Commission." 46 U.S.C. app. § 1708(c).

²Section 3(8) of the Shipping Act defines "controlled carrier" as:

an ocean common carrier that is, or whose operating assets are, directly or indirectly, owned or controlled by a government; ownership or control by a government shall be deemed to exist with respect to any carrier if--

(A) a majority portion of the interest in the carrier is owned or controlled in any manner by that government, by any agency thereof, or by any public or private person controlled by that government; or

(B) that government has the right to appoint or disapprove the appointment of a majority of the

immediately upon publication.³ Only controlled carriers are subject to the thirty-day waiting period for reductions in tariff rates, as set forth in section 9(c). Petition at 4. CSCL-HK asserts that the exemption it requests would have no effect on the basic requirement of the Controlled Carrier Act that it charge just and reasonable rates. Id. at 1.

CSCL-HK explains that on April 1, 2004, the Commission granted China Shipping Container Lines Co. Ltd. ("China Shipping") a limited exemption from the thirty-day waiting requirement of section 9(c) of the Shipping Act, allowing China Shipping to decrease its tariff rates immediately. Id. at 2; Petition of China Shipping Container Lines Co., Ltd. for a Permanent Exemption from Section 9(c) of the Shipping Act of 1984, 30 S.R.R. 193 (2004) (hereinafter "2004 China Shipping Order"). Petition at 2. The Commission also recently granted several similar exemptions to China Ocean Shipping (Group) Co., Sinotrans Container Lines Co. Ltd., and American President Lines, Ltd. Petition of China Ocean Shipping (Group) Company for a Partial Exemption from the Controlled Carrier Act, 30 S.R.R. 187 (2004); Petition of Sinotrans Container Lines Co., Ltd. (Sinolines) for a Full Exemption from the First Sentence of Section 9(c) of the Shipping Act of 1984, as Amended, 30 S.R.R. 197 (2004); Petition of American Presidents Lines, Ltd. and APL Co. Pte. Ltd., for a Full

directors, the chief operating officer, or the chief executive officer of the carrier.

³Section 8(d) of the Shipping Act, 46 U.S.C. app. § 1707(d), requires that all common carriers, controlled or otherwise, must give thirty days' notice for rate increases.

Exemption from the First Sentence of Section 9(c) of the Shipping Act of 1984, as Amended.

CSCL-HK argues that its request meets the criteria of section 16 of the Shipping Act, 46 U.S.C. app. § 1715 ("section 16"), as it will neither result in a substantial reduction in competition nor be detrimental to commerce. CSCL-HK argues that the exemption will result in increased competition among carriers and will promote commerce by making more choices available to shippers. *Id.* at 3. Petitioner also asserts that the exemption will increase competition, benefit commerce, and promote the legislative intent of the Shipping Act without removing the requirement that CSCL-HK maintain just and reasonable rates. *Id.* at 4.

DISCUSSION

A. Commission Exemption Authority

Section 16 provides that the Commission may exempt any activity of persons subject to the Shipping Act from any requirement of that Act, if it has found that the exemption will not result in substantial reduction in competition or be detrimental to commerce.⁴

⁴Section 16 further states, "The Commission may attach conditions to any exemption and may, by order, revoke any exemption. No order or rule of exemption or revocation of exemption may be issued unless opportunity for hearing has been afforded interested persons and departments and agencies of the United States." 46 U.S.C. app. § 1715.

1. Substantial Reduction in Competition

CSCL-HK's arguments regarding carrier competition appear to have merit. One of CSCL-HK's burdens as petitioner is to establish that the exemption will not result in a substantial reduction in competition. CSCL-HK asserts that competition is likely to increase since CSCL-HK indicated that it will operate worldwide. We think that will especially hold true in the heavily competitive transpacific trade. We also note that the Commission has never had occasion to prevent the implementation of any China Shipping tariff rate within the initial thirty-day period on the basis that it may not be just and reasonable.

2. Detriment to Commerce

CSCL-HK's uncontested argument that the exemption will not be detrimental to commerce also appears to have validity. Allowing CSCL-HK to reduce rates with immediate effectiveness may allow it to compete more vigorously for time-sensitive cargo. This would also appear to give shippers more options in a competitive market. No comments were filed to advance the position that granting CSCL-HK's request would be detrimental to commerce. As we have previously found, the thirty-day requirement of section 9(c) has declined in significance. Petition of Sinotrans Container Lines Co., Ltd. (Sinolines) for a Full Exemption from the First Sentence of Section 9(c) of the Shipping Act of 1984, as Amended, 30 S.R.R. 197 (2004).

CONCLUSION

We find that CSCL-HK's request meets the two part test of section 16. Therefore, the request for exemption is granted

without a time limit or provision for expiration. It provides the same degree of stability and predictability for CSCL-HK's operations as would any other Commission order granting an exemption. The Commission retains its full authority to revoke the instant exemption subject to the requirements of section 16. Furthermore, CSCL-HK will remain subject to the requirement that it maintain just and reasonable rates, and to all other provisions of the Shipping Act.

THEREFORE, IT IS ORDERED, That CSCL-HK Container Lines Co., Ltd. is hereby granted an exemption from the requirement of 46 U.S.C. app. § 1708(c) that it wait thirty days to impose tariff rate decreases, and may reduce its tariff rates, charges, classifications, rules or regulations effective upon publication pursuant to 46 C.F.R. Part 520; and

IT IS FURTHER ORDERED, That this proceeding is discontinued.

By the Commission.


Bryant L. VanBrakle
Secretary